



2025

FORMULAS TO CALCULATE SOURCE DEDUCTIONS AND CONTRIBUTIONS





YOU PLAY AN ESSENTIAL ROLE IN THE FULFILMENT OF OUR MISSION.

By adequately calculating your employees' source deductions and your employer contributions, you make sure that you and your employees are contributing to society's future.

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Important

The information contained in this guide does not constitute a legal interpretation of the laws or regulations of Québec or Canada. This guide must be used for 2025. It does not contain any tax changes for 2025 that were announced after November 21, 2024. You must therefore make sure that the information reflects current fiscal legislation.

Go to our website to:

- get information about the changes that have been made to source deductions and contributions (including those announced after the publication of this document);
- find other documents for employers;
- use our online services.

If you need other information, contact us at one of the numbers or addresses given at the end of this guide.

PRINCIPAL CHANGES

Indexation

The personal income tax system is indexed at 2.85% for 2025.

Income tax rates and income thresholds

For 2025, the taxable income thresholds and constants for adjusting the income tax rates have been indexed, whereas the income tax rates remain unchanged.

The table below shows the income tax rates, income thresholds and constants for 2025.

Income tax rates, income thresholds and constants for 2025

Taxable income		Tax rate	Constant
More than	Not more than		
\$0	\$53,255	14%	\$0
\$53,255	\$106,495	19%	\$2,662
\$106,495	\$129,590	24%	\$7,987
\$129,590	–	25.75%	\$10,255

Personal tax credit amounts

The personal tax credit amounts on the *Source Deductions Return* (TP-1015.3-V) are indexed for 2025.

The table below shows the personal tax credit amounts for 2025.

Personal tax credit amounts	2025
Basic personal amount	\$18,571
Amount transferred from one spouse to the other	\$18,571
Amount for other dependants	\$5,570
Amount for a child under 18 enrolled in post-secondary studies (per term)	\$3,823
Additional amount for a person living alone (single-parent family)	\$2,627
Amount for a severe and prolonged impairment in mental or physical functions	\$4,123
Amount for a person living alone	\$2,128
Age amount	\$3,906
Amount for retirement income	\$3,470
Reduction threshold for the age amount, the amount for a person living alone and the amount for retirement income	\$42,090
Reduction threshold for the amount for career extension	\$56,500

Amount for career extension

For the 2025 taxation year, the following changes have been made in form TP-1015.3-V in respect of the amount for career extension:

- The eligibility age has been increased from 60 to 65.
- The first \$7,500 of eligible work income is now excluded (up from \$5,000). The exclusion amount will be indexed as of the 2026 taxation year.
- The maximum eligible work income has been increased from \$11,000 to \$12,500 and will be indexed as of the 2026 taxation year.
- The reduction threshold has been increased from \$40,925 to \$56,500 and will be indexed as of the 2026 taxation year.
- The reduction is now based on net income (line 275 of the income tax return).
- The reduction rate has been increased from 5% to 7%.
- The special rule for workers born before January 1, 1951, has been eliminated.

For more information, see information bulletin 2024-9 on the Ministère des Finances website.

Gratuities and retroactive pay

The threshold for determining the method to be used to calculate the source deduction of income tax on gratuities and retroactive pay is \$18,571 for 2025.

Deduction for workers

The maximum deduction for workers is \$1,420 for 2025. The definitions of variables H, H1 and H2 in the calculation of source deductions of income tax on a cumulative-averaging basis were modified to be more precise. See section 2.2.

Emergency services volunteer

The maximum exemption that can be granted to an individual as an emergency services volunteer is \$1,420 for 2025.

Disability assistance payments from a registered disability savings plan (RDSP)

For 2025, you must withhold income tax at a rate of 14% from the taxable portion of a disability assistance payment from an RDSP that exceeds \$22,694.



Québec Pension Plan (QPP) contributions

The table below provides the QPP data for 2025.

QPP data for the portion of the pensionable salary or wages that does not exceed the maximum pensionable earnings under the QPP	2025
Maximum pensionable earnings	\$71,300
Basic exemption	\$3,500
Maximum contributory earnings	\$67,800
Contribution rate (base contribution rate of 5.40% and first additional contribution rate of 1%)	6.40%
Employee's maximum contribution	\$4,339.20
Employer's maximum base contribution (per employee)	\$4,339.20

QPP data for the portion of the pensionable salary or wages that exceeds the maximum pensionable earnings under the QPP	2025
Additional maximum pensionable earnings	\$81,200
Maximum pensionable earnings	\$71,300
Additional maximum contributory earnings	\$9,900
Second additional contribution rate	4%
Employee's maximum second additional contribution	\$396
Employer's maximum second additional contribution (per employee)	\$396

Québec parental insurance plan (QPIP) premiums

The table below provides the QPIP data for 2025.

QPIP data	2025
Maximum insurable earnings	\$98,000
Employee's premium rate	0.494%
Employee's maximum premium ($\$98,000 \times 0.00494$)	\$484.12
Employer's premium rate	0.692%
Employer's maximum premium (per employee) ($\$98,000 \times 0.00692$)	\$678.16



Contribution to the health services fund

The table below shows the health services fund contribution rates for 2025, by total payroll. For this year, the total payroll threshold for eligibility for a reduction of the health services fund contribution rate is increasing from \$7.5 million to \$7.8 million.

Health services fund contribution rates (%) for 2025

Rates	Total payroll (TP)		
	\$1,000,000 or less	\$1,000,001 to \$7,799,999	\$7,800,000 or more
Rates for employers whose total payroll is more than 50% attributable to activities in the primary and manufacturing sectors	1.25%	$0.8074 + (0.4426 \times TP \div 1,000,000)$	4.26%
Rates for all employers other than public sector employers and employers whose total payroll is more than 50% attributable to activities in the primary and manufacturing sectors	1.65%	$1.2662 + (0.3838 \times TP \div 1,000,000)$	4.26%
Rate for public sector employers	4.26%		

HBP withdrawal limit increase

The amounts an individual can withdraw from their registered retirement savings plan (RRSP) under the Home Buyers' Plan (HBP) has increased from \$35,000 to \$60,000. The increased withdrawal limit applies to withdrawals made after April 16, 2024. Do not withhold income tax from amounts that total \$60,000 or less that are withdrawn from an RRSP under the HBP.



1 INTRODUCTION

1.1 About the guide

This guide contains formulas for calculating source deductions of Québec income tax, QPP contributions, QPIP premiums and the contribution to the health services fund.

The formulas also help you calculate source deductions and contributions to be made on gratuities, retroactive pay, accumulated overtime, unused vacation and commissions.

You cannot use the formulas to calculate source deductions of income tax from remuneration if a fixed rate must be used. For example, you cannot use the formulas to calculate source deductions of income tax on a single payment or an income supplement payment.

This guide is to be used as a supplement to the *Guide for Employers* (TP-1015.G-V), which contains everything you need to know about source deductions and employer contributions.

1.2 Abbreviations

CIP	Cooperative investment plan
CNESST	Commission des normes, de l'équité, de la santé et de la sécurité du travail
FHSA	First home savings account (tax-free)
FTQ	Fédération des travailleurs et travailleuses du Québec
PRPP	Pooled registered pension plan
QPIP	Québec parental insurance plan
QPP	Québec Pension Plan
RPP	Registered pension plan
RRSP	Registered retirement savings plan
VRSP	Voluntary retirement savings plan

1.3 Glossary

The terms below are defined in the context of this guide.

Employee

An individual who holds employment or an office.

Employment

Work carried out by an individual under a written or verbal contract of employment (includes an office).

Employment income

Income from employment or from an office.



Individual

A natural person.

NOTE

In this guide, the term “individual” generally refers both to an employee and to a beneficiary of an amount you pay as a payer.

Office

A position for which an individual is entitled to be remunerated.

NOTE

A member of the board of directors of a corporation holds an office, even if they perform no administrative duties. An individual who is an elected or appointed representative also holds an office.

Person

A natural person or a legal person.

Place of residence

A person’s place of residence within the meaning of the *Taxation Act*.

NOTE

To determine the place of residence of an individual who leaves Québec and Canada, refer to interpretation bulletin IMP. 22-3.

Remuneration

Salary or wages and any other amount that you pay as an employer (for example, a retiring allowance) or as a payer (for example, pension benefits).

Remuneration paid and salary or wages paid

Remuneration, salary or wages that are **paid, allocated, granted or awarded**.

NOTE

Tips allocated to an employee constitute salary or wages paid to the employee.

A benefit in kind (other than in cash) that you grant to an employee also constitutes a salary or wages paid to the employee. However, under the QPIP, a benefit in kind generally does not constitute eligible salary or wages; only cash remuneration paid to an employee is considered to be salary or wages paid.

Salary or wages

Gross employment income, including the following amounts and any similar payments made to an employee (former, current or future):

- taxable benefits (including taxable allowances);
- commissions;
- overtime pay;
- vacation pay;
- retroactive pay, including payments resulting from a collective agreement signed before the death of an employee;
- tips (including allocated tips);
- advances;
- gratuities (including bonuses and incentives);
- certain amounts paid further to an industrial accident – CNESST;



- indemnities paid further to a precautionary cessation of work (that is, the amount paid to an employee under the *Act respecting occupational health and safety* for the first five days following the date on which the employee stopped working);
- the portion of the salary or wages earned during the year that is to be paid in another year, under a salary deferral arrangement;
- amounts paid to an employee during a self-funded leave of absence;
- out-of-Canada living allowances;
- location incentives paid to a physician;
- directors' fees;
- amounts paid after an employee's death (other than a death benefit), provided the payments were foreseeable at the time of death;
- fees paid in connection with employment (for example, fees paid to council or committee members);
- earnings loss benefits, income replacement benefits, supplementary retirement benefits and career impact allowances paid under the *Veterans Well-being Act* (federal statute);
- an amount paid to an employee by a person not dealing at arm's length with the employer that would have been included in the salary or wages had it been paid by the employer.

NOTE

In this guide, contrary to the definition provided in tax legislation, the term "salary or wages" does not include the following amounts:

- wage loss replacement benefits paid under a wage loss replacement plan to which the employer contributed;
- amounts paid by a trustee of an employee trust or a profit-sharing plan;
- amounts paid by a custodian of an employee benefit plan.



2 FORMULAS TO CALCULATE SOURCE DEDUCTIONS OF QUÉBEC INCOME TAX

This part contains the formulas for calculating source deductions of Québec income tax on regular payments and on a cumulative average.

If the remuneration you pay to an employee is fixed (such as a salary or retirement income), you have to use the formulas in section 2.1.

If the remuneration you pay to an employee varies (such as remuneration paid on a commission basis), you have to use the formulas in section 2.2.

NOTE

If you use the formulas applicable to regular payments to calculate source deductions of income tax and compare the result with the amount shown in the *Source Deduction Table for Québec Income Tax* (TP-1015.TI-V), you may find that the amounts are not identical. The difference is attributable to the fact that different elements are taken into account in the calculation.

Exemption from source deductions of income tax

Do not withhold income tax on the remuneration of an individual who requests an exemption from source deductions of income tax on the *Source Deductions Return* (form TP-1015.3-V).

This exemption is valid only for the year of the request.

2.1 Calculating source deductions of income tax for regular payments

2.1.1 Regular payments

Use the formulas below to calculate source deductions of income tax on fixed remuneration (such as a salary or retirement income). See Appendix 1 for an example of how source deductions of income tax are calculated on regular payments.

NOTE

Use the formulas in section 2.1.2 to calculate source deductions of income tax on gratuities, retroactive pay or similar lump-sum payments (such as a payment covering accumulated overtime or unused vacation).

Step 1 – Calculating the annual taxable income

I = Annual taxable income

= $P \times (G - F - H - CSA) - J - J1$ ➤ If the result is negative, enter 0.

where

P = Number of pay periods in the year

G = Gross remuneration subject to source deductions of income tax for the pay period. **Do not include** gratuities, retroactive pay or similar lump-sum payments.

F = Total of the following amounts for the pay period:

- the contribution to an RPP;
- the contribution to an RRSP;
- the contribution to a VRSP or to a PRPP;
- the contribution to an FHSA;
- the contribution paid for an employee under a retirement compensation arrangement;
- the deduction respecting the CIP, that is, 125% of the amount withheld from the employee's remuneration for the purchase of preferred shares qualifying under the CIP;
- the travel deduction for residents of designated remote areas;
- the security option deduction;
- the portion of the remuneration that gives entitlement to one of the following deductions:
 - the deduction for income situated on a reserve,
 - the deduction for employment income earned on a vessel,
 - the deduction for foreign specialists,
 - the deduction for foreign researchers,
 - the deduction for foreign researchers on a post-doctoral internship,
 - the deduction for foreign experts,
 - the deduction for foreign professors,
 - the deduction for foreign producers or foreign individuals holding a key position in a foreign production filmed in Québec,
 - the deduction for foreign farm workers,
 - the Canadian Forces personnel and police deduction.

H = Deduction for workers

= **$(0.06 \times D)$, up to a maximum of \$1,420 ÷ P**

where

D = Gross salary or wages subject to source deductions of income tax for the pay period. **Do not include** gratuities, retroactive pay or similar lump-sum payments.

P = Number of pay periods in the year



CSA = Deduction of additional employee QPP contributions on the employee's pensionable salary or wages under the QPP for the pay period, **excluding** gratuities, retroactive pay or similar lump-sum payments

$$= \text{CS} \times [(\text{S3} - \text{B2}) \div \text{S3}]$$

where

CS = Deduction of additional employee QPP contributions for the pay period

$$= \text{C} \times (0.01 \div 0.0640) + \text{C2}$$

where

C = Employee QPP contribution for the pay period (base contribution and first additional contribution)

C2 = Second additional employee QPP contribution for the pay period

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

B2 = Gratuities, retroactive pay or similar lump-sum payments made **during the pay period**

J = Deductions shown on line 19 of form TP-1015.3-V. If the value of J is determined after the first pay period in the year, it is instead equal to the result of the following calculation:

$$= (\text{P} \times \text{J3}) \div \text{PR}$$

where

P = Number of pay periods in the year

J3 = Deductions shown on line 19 of form TP-1015.3-V after the first pay period in the year

PR = Number of pay periods remaining in the year (including the current pay period)

J1 = Annual deductions that we authorized after the individual completed form TP-1016-V, *Application for a Reduction in Source Deductions of Income Tax*. If the value of J1 is determined after the first pay period in the year, it is instead equal to the result of the following calculation:

$$= (\text{P} \times \text{J2}) \div \text{PR}$$

where

P = Number of pay periods in the year

J2 = Deductions that we authorized after the first pay period in the year

PR = Number of pay periods remaining in the year (including the current pay period)



Step 2 – Calculating the income tax for the year

Y = Income tax for the year

$$= (T \times I) - K - K1 - (0.14 \times E) - (0.15 \times P \times Q) - (0.15 \times P \times Q1) \rightarrow \text{If the result is negative, enter 0.}$$

where

T = Income tax rate applicable to the bracket of annual taxable income

Annual taxable income (I)		Income tax rate (T)	Constant (K)
More than	Equal to or less than		
\$0	\$53,255	14%	\$0
\$53,255	\$106,495	19%	\$2,662
\$106,495	\$129,590	24%	\$7,987
\$129,590	–	25.75%	\$10,255

I = Annual taxable income

K = Constant used to adjust the income tax rate on the basis of the annual taxable income

K1 = Non-refundable tax credits that we authorized for the year after the individual completed form TP-1016-V (for example, the tax credit for charitable donations and other gifts). If the value of K1 is determined after the first pay period in the year, it is instead equal to the result of the following calculation:

$$= (P \times K2) \div PR$$

where

P = Number of pay periods in the year

K2 = Non-refundable tax credits that we authorized after the first pay period in the year

PR = Number of pay periods remaining in the year (including the current pay period)



E = Value of personal tax credits shown on form TP-1015.3-V

= **E1 + E2** ➤ If the result is not a multiple of 1, round it to the nearest multiple of 1. If the result is halfway between two multiples of 1, round it up to the higher multiple.

where

E1 = Indexed value of personal tax credits, which corresponds to one of the following amounts:

- the value of variable E1 for 2024 multiplied by 1.0285;
- the amount from line 7 of form TP-1015.3-V, for an individual who completed the form for 2025;
- \$18,571 (the basic personal amount for 2025) for an employee who took up employment duties in 2025 and who did not complete form TP-1015.3-V and for a new beneficiary who did not complete the form.

NOTE

The value of variable E1 for 2024 corresponds to the value of variable E1 for 2023, multiplied by the indexation factor for 2024 plus 1.

E2 = Non-indexed value of the personal tax credits, which corresponds to the amount from line 9 of form TP-1015.3-V

NOTE

There may be a limit on the deductions and personal tax credits an individual can claim on form TP-1015.3-V if they are not resident in Canada, or if they become resident in Canada during the year. For more information, consult guide TP-1015.G-V.

P = Number of pay periods in the year

Q = Amount withheld for the pay period for the purchase of class A Fonds de solidarité FTQ shares

Q1 = Amount withheld for the pay period for the purchase of class A or class B Fondation shares

NOTE

The total of the amounts withheld for the year must not exceed \$5,000. The tax credit respecting a labour-sponsored fund is taken into account in the calculation of income tax for the year. However, if the amount withheld for the pay period for the purchase of Fonds de solidarité FTQ or Fondation shares is subtracted from the employee's gross remuneration, as shown in section 3.3.3 of guide TP-1015.G-V, the value of variables Q and Q1 must be zero.

Step 3 – Calculating the income tax to be withheld for the pay period

A = Income tax to be withheld for the pay period

= $(Y \div P) + L$

➤ If the result is negative, enter 0.

where

Y = Income tax for the year

P = Number of pay periods in the year

L = Additional source deduction of income tax requested by the individual on form TP-1015.3-V or form TP-1017-V, *Request to Have Additional Income Tax Withheld at Source*, or source deduction of income tax requested by the individual on form TP-1015.N-V, *Election to Have Income Tax Deducted at Source From Fishing Income*, for the pay period

2.1.2 Gratuities, retroactive pay or similar lump-sum payments

You can use either of the following methods to calculate the income tax to be withheld from gratuities, retroactive pay or similar lump-sum payments (for example, a payment covering **accumulated overtime or unused vacation**). Note that Method 1 is more precise than Method 2.

See Appendix 2 for an example of how Method 2 is used to calculate source deductions of income tax on retroactive pay.

NOTE

If the total of the annual salary or wages and the lump-sum payment is not more than \$18,571 for the year, simply withhold 7% income tax from the lump-sum payment.

Method 1

Step 1 – Calculating the taxable annual income

I1 = Annual taxable income

NOTE

The annual taxable income includes the income accrued before the start of the current pay period and the estimated income for the rest of the year (including the current pay period).

= $(G1 - F1 - H1 - CSA1) + [PR \times (G - F - H2 - CSA)] - J - J1$ ➤ If the result is negative, enter 0.

where

G1 = Total of the amounts included in variable G **accrued** before the start of the current pay period

F1 = Total of the amounts included in variable F **accrued** before the start of the current pay period

H1 = Total of the amounts included in variable H **accrued** before the start of the current pay period

CSA1 = Total of the amounts included in variable CSA **accrued** before the start of the current pay period

PR = Number of pay periods remaining in the year (including the current pay period)

G = Gross remuneration subject to source deductions of income tax for the pay period. **Do not include** gratuities, retroactive pay or similar lump-sum payments.

F = Total of the following amounts for the pay period:

- the contribution to an RPP;
- the contribution to an RRSP;
- the contribution to a VRSP or to a PRPP;
- the contribution to an FHSA;
- the contribution paid for an employee under a retirement compensation arrangement;
- the deduction respecting the CIP, that is, 125% of the amount withheld from the employee's remuneration for the purchase of preferred shares qualifying under the CIP;
- the travel deduction for residents of designated remote areas;
- the security option deduction;
- the portion of the remuneration that gives entitlement to one of the following deductions:
 - the deduction for income situated on a reserve,
 - the deduction for employment income earned on a vessel,
 - the deduction for foreign specialists,
 - the deduction for foreign researchers,
 - the deduction for foreign researchers on a post-doctoral internship,
 - the deduction for foreign experts,
 - the deduction for foreign professors,
 - the deduction for foreign producers or foreign individuals holding a key position in a foreign production filmed in Québec,
 - the deduction for foreign farm workers,
 - the Canadian Forces personnel and police deduction.

H2 = Deduction for workers

= **$[0.06 \times (B1 + B2 + G1 + D)]$, up to a maximum of $(\$1,420 - H1) \div PR$**

where

B1 = Gratuities, retroactive pay or similar lump-sum payments paid **since the beginning of the year** (excluding those paid during the pay period)

B2 = Gratuities, retroactive pay or similar lump-sum payments paid **during the pay period**

G1 = Total of the amounts included in variable G **accrued** before the start of the current pay period

D = Gross salary or wages subject to source deductions of income tax for the pay period. **Do not include** gratuities, retroactive pay or similar lump-sum payments.

H1 = Total of the amounts included in variable H **accrued before the start of the current pay period**

PR = Number of pay periods remaining in the year (including the current pay period)



CSA = Deduction of additional employee QPP contributions on the employee's pensionable salary or wages under the QPP for the pay period, **excluding** gratuities, retroactive pay or similar lump-sum payments

$$= \text{CS} \times [(\text{S3} - \text{B2}) \div \text{S3}]$$

where

CS = Deduction of additional employee QPP contributions for the pay period

$$= \text{C} \times (0.01 \div 0.0640) + \text{C2}$$

where

C = Employee QPP contribution for the pay period (base contribution and first additional contribution)

C2 = Second additional employee contribution for the pay period

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

B2 = Gratuities, retroactive pay or similar lump-sum payments made **during the pay period**

J = Deductions shown on line 19 of form TP-1015.3-V. If the value of J is determined after the first pay period in the year, it is instead equal to the result of the following calculation:

$$= (\text{P} \times \text{J3}) \div \text{PR}$$

where

P = Number of pay periods in the year

J3 = Deductions shown on line 19 of form TP-1015.3-V after the first pay period in the year

PR = Number of pay periods remaining in the year (including the current pay period)

J1 = Annual deductions that we authorized after the individual completed form TP-1016-V. If the value of J1 is determined after the first pay period in the year, it is instead equal to the result of the following calculation:

$$= (\text{P} \times \text{J2}) \div \text{PR}$$

where

P = Number of pay periods in the year

J2 = Deductions that we authorized after the first pay period in the year

PR = Number of pay periods remaining in the year (including the current pay period)



Step 2 – Calculating the income tax for the year

Y1 = Income tax for the year taking into account variable B1

$$= [T \times (I1 + B1 - CSB1)] - K - K1 - (0.14 \times E) - (0.15 \times P \times Q) - (0.15 \times P \times Q1)$$

➤ If the result is negative, enter 0.

Y2 = Income tax for the year taking into account variables B1 and B2

$$= [T \times (I1 + B1 + B2 - CSB1 - CSB)] - K - K1 - (0.14 \times E) - (0.15 \times P \times Q) - (0.15 \times P \times Q1)$$

➤ If the result is negative, enter 0.

NOTE

In calculating variable Y1, you must determine the income tax rate (variable T) based on the result of the addition of variables I1 and B1. For example, if variable I1 equals \$50,000 and variable B1 equals \$5,000, the income tax rate will be 19%, which is the rate applicable to taxable income of \$55,000 (\$50,000 + \$5,000).

In calculating variable Y2, you must determine the income tax rate (variable T) based on the result of the addition of variables I1, B1 and B2.

where

T = Income tax rate applicable to the bracket of annual taxable income

Annual taxable income (I)		Income tax rate (T)	Constant (K)
More than	Equal to or less than		
\$0	\$53,255	14%	\$0
\$53,255	\$106,495	19%	\$2,662
\$106,495	\$129,590	24%	\$7,987
\$129,590	–	25.75%	\$10,255

I1 = Annual taxable income

NOTE

The annual taxable income includes the income accrued before the start of the current pay period and the estimated income for the rest of the year (including the current pay period).

B1 = Gratuities, retroactive pay or similar lump-sum payments paid since the beginning of the year (excluding those paid during the pay period)

B2 = Gratuities, retroactive pay or similar lump-sum payments paid during the pay period

NOTE

If you took into account an amount included in variable F in calculating the income tax to be withheld from gratuities, retroactive pay or similar lump-sum payments paid since the beginning of the year (variable B1), including those paid during the pay period (variable B2), you must reduce variables B1 and B2 accordingly.

CSB1 = Total of the amounts in variable CSB accrued before the start of the current pay period

CSB = Deduction of additional employee QPP contributions on gratuities, retroactive pay or similar lump-sum payments during the pay period

$$= \text{CS} \times (\text{B2} \div \text{S3})$$

where

CS = Deduction of additional employee QPP contributions for the pay period

$$= \text{C} \times (0.01 \div 0.0640) + \text{C2}$$

where

C = Employee QPP contribution for the pay period (base contribution and first additional contribution)

C2 = Second additional employee QPP contribution for the pay period

B2 = Gratuities, retroactive pay or similar lump-sum payments **during the pay period**

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

K = Constant used to adjust the income tax rate on the basis of the annual taxable income

K1 = Non-refundable tax credits that we authorized for the year after the individual completed form TP-1016-V (for example, the tax credit for charitable donations and other gifts). If the value of K1 is determined after the first pay period in the year, it is instead equal to the result of the following calculation:

$$= (\text{P} \times \text{K2}) \div \text{PR}$$

where

P = Number of pay periods in the year

K2 = Non-refundable tax credits that we authorized after the first pay period in the year

PR = Number of pay periods remaining in the year (including the current pay period)



E = Value of personal tax credits shown on form TP-1015.3-V

= **E1 + E2** ➤ If the result is not a multiple of 1, round it to the nearest multiple of 1. If the result is halfway between two multiples of 1, round it up to the higher multiple.

where

E1 = Indexed value of personal tax credits, which corresponds to one of the following amounts:

- the value of variable E1 for 2024 multiplied by 1.0285;
- the amount from line 7 of form TP-1015.3-V, for an individual who completed the form for 2025;
- \$18,571 (the basic personal amount for 2025) for an employee who took up employment duties in 2025 and who did not complete form TP-1015.3-V and for a new beneficiary who did not complete the form.

NOTE

The value of variable E1 for 2024 corresponds to the value of variable E1 for 2023, multiplied by the indexation factor for 2024 plus 1.

E2 = Non-indexed value of the personal tax credits, which corresponds to the amount from line 9 of form TP-1015.3-V

NOTE

There may be a limit on the deductions and personal tax credits an individual can claim on form TP-1015.3-V if they are not resident in Canada or if they become resident in Canada during the year. For more information, consult guide TP-1015.G-V.

P = Number of pay periods in the year

Q = Amount withheld for the pay period for the purchase of class A Fonds de solidarité FTQ shares

Q1 = Amount withheld for the pay period for the purchase of class A or class B Fondation shares

NOTE

The total of the amounts withheld for the year must not exceed \$5,000. The tax credit respecting a labour-sponsored fund is taken into account in the calculation of income tax for the year. However, if the amount withheld for the pay period for the purchase of Fonds de solidarité FTQ or Fondation shares is subtracted from the employee's gross remuneration, as shown in section 3.3.3 of guide TP-1015.G-V, the value of variables Q and Q1 must be zero.

Step 3 – Calculating the income tax to be withheld for the pay period

A1 = Income tax to be withheld from a gratuity, retroactive pay or similar lump-sum payment paid during the pay period

= **Y2 – Y1**

where

Y2 = Income tax for the year taking into account variables B1 and B2

Y1 = Income tax for the year taking into account variable B1



Method 2

Step 1 – Calculating the annual taxable income

I = Annual taxable income

= **$[P \times (G - F - H - CSA)] + B1 + B2 - CSB1 - CSB - J - J1$** ➤ If the result is negative, enter 0.

where

P = Number of pay periods in the year

G = Gross remuneration subject to source deductions of income tax for the pay period. **Do not include** gratuities, retroactive pay or similar lump-sum payments.

F = Total of the following amounts for the pay period:

- the contribution to an RPP;
- the contribution to an RRSP;
- the contribution to a VRSP or to a PRPP;
- the contribution to an FHSA;
- the contribution paid for an employee under a retirement compensation arrangement;
- the deduction respecting the CIP, that is, 125% of the amount withheld from the employee's remuneration for the purchase of preferred shares qualifying under the CIP;
- the travel deduction for residents of designated remote areas;
- the security option deduction;
- the portion of the remuneration that gives entitlement to one of the following deductions:
 - the deduction for income situated on a reserve,
 - the deduction for employment income earned on a vessel,
 - the deduction for foreign specialists,
 - the deduction for foreign researchers,
 - the deduction for foreign researchers on a post-doctoral internship,
 - the deduction for foreign experts,
 - the deduction for foreign professors,
 - the deduction for foreign producers or foreign individuals holding a key position in a foreign production filmed in Québec,
 - the deduction for foreign farm workers,
 - the Canadian Forces personnel and police deduction.

H = Deduction for workers

= **$(0.06 \times D)$, to a maximum of $\$1,420 \div P$**

where

D = Gross salary or wages subject to source deductions of income tax for the pay period. **Do not include** gratuities, retroactive pay or similar lump-sum payments.

P = Number of pay periods in the year



CSA = Deduction of additional employee QPP contributions on the employee's pensionable salary or wages under the QPP for the pay period, **excluding** gratuities, retroactive pay or similar lump-sum payments

$$= CS \times [(S3 - B2) \div S3]$$

where

CS = Deduction of additional employee QPP contributions for the pay period

$$= C \times (0.01 \div 0.0640) + C2$$

where

C = Employee QPP contribution for the pay period (base contribution and first additional contribution)

C2 = Second additional employee QPP contribution for the pay period

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

B2 = Gratuities, retroactive pay or similar lump-sum payments **during the pay period**

B1 = Gratuities, retroactive pay or similar lump-sum payments paid since the beginning of the year (excluding those paid during the pay period)

B2 = Gratuities, retroactive pay or similar lump-sum payments paid during the pay period

NOTE

If you took into account an amount included in variable F in calculating the income tax to be withheld from gratuities, retroactive pay or similar lump-sum payments paid since the beginning of the year (variable B1), including those paid during the pay period (variable B2), you must reduce variables B1 and B2 accordingly.

CSB1 = Total of the amounts in variable CSB **accrued** before the start of the current pay period

CSB = Deduction of additional employee QPP contributions on gratuities, retroactive pay or similar lump-sum payments during the pay period

$$= CS \times (B2 \div S3)$$

where

CS = Deduction of additional employee QPP contributions for the pay period

$$= C \times (0.01 \div 0.0640) + C2$$

where

C = Employee QPP contribution for the pay period (base contribution and first additional contribution)

C2 = Second additional employee QPP contribution for the pay period

B2 = Gratuities, retroactive pay or similar lump-sum payments **during the pay period**

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

J = Deductions shown on line 19 of form TP-1015.3-V. If the value of J is determined after the first pay period in the year, it is instead equal to the result of the following calculation:

$$= (P \times J3) \div PR$$

where

P = Number of pay periods in the year

J3 = Deductions shown on line 19 of form TP-1015.3-V after the first pay period in the year

PR = Number of pay periods remaining in the year (including the current pay period)

J1 = Annual deductions that we authorized after the individual completed form TP-1016-V. If the value of J1 is determined after the first pay period in the year, it is instead equal to the result of the following calculation:

$$= (P \times J2) \div PR$$

where

P = Number of pay periods in the year

J2 = Deductions that we authorized after the first pay period in the year

PR = Number of pay periods remaining in the year (including the current pay period)

Step 2 – Calculating the source deduction of income tax for the pay period

A = Québec income tax to be withheld from a gratuity, retroactive pay or similar lump-sum payment paid during the pay period

$$= T \times (B2 - CSB)$$

where

T = Income tax rate applicable to the bracket of annual taxable income

Annual taxable income (I)		Income tax rate (T)
More than	Equal to or less than	
\$0	\$53,255	14%
\$53,255	\$106,495	19%
\$106,495	\$129,590	24%
\$129,590	–	25.75%

B2 = Gratuities, retroactive pay or similar lump-sum payments paid during the pay period

NOTE

If you took into account an amount included in variable F in calculating the income tax to be withheld from gratuities, retroactive pay or similar lump-sum payments paid during the pay period (variable B2), you must reduce variable B2 accordingly.

CSB = Deduction of additional employee QPP contributions on gratuities, retroactive pay or similar lump-sum payments during the pay period

$$= \text{CS} \times (\text{B2} \div \text{S3})$$

where

CS = Deduction of additional employee QPP contributions for the pay period

$$= \text{C} \times (0.01 \div 0.0640) + \text{C2}$$

where

C = Employee QPP contribution for the pay period (base contribution and first additional contribution)

C2 = Second additional employee QPP contribution for the pay period

B2 = Gratuities, retroactive pay or similar lump-sum payments **during the pay period**

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

2.2 Calculating source deductions of income tax on a cumulative-averaging basis

Use the formulas below to calculate source deductions of income tax on remuneration that varies (for example, remuneration paid on a commission basis).

You can use either of the following methods to calculate the income tax to be withheld from gratuities, retroactive pay or similar lump-sum payments (for example, a payment covering accumulated overtime or unused vacation). Under Method 1, the Québec income tax to be withheld for the year is **spread out** over the pay periods remaining in the year. Under Method 2, the **total** amount of Québec income tax to be withheld for the pay period concerned is calculated, including income tax to be withheld from gratuities, retroactive pay or similar lump-sum payments made in the pay period.

NOTE

- If the total of the annual salary or wages and the lump-sum payment is not more than \$18,571 for the year, simply withhold 7% income tax from the lump-sum payment.
- If an employee completed form TP-1015.R.13.1-V, *Statement of Commissions and Expenses for Source Deduction Purposes*, add the result of the following calculation to the amount of variable G: gross commissions paid to the employee for the pay period, multiplied by the percentage of commissions calculated by the employee on form TP-1015.R.13.1-V.

Method 1

Step 1 – Calculating the annual taxable income

I = Annual taxable income

= $[S1 \times (G - F - H - CSA1 - CSA)] + B - CSB1 - CSB - J - J1$ ➤ If the result is negative, enter 0.

where

S1 = Annualization factor (the number of pay periods in the year, divided by the number corresponding to the current pay period)

Examples		52 pay periods	26 pay periods	24 pay periods
First pay period	$S_1 =$	$52 \div 1$	$26 \div 1$	$24 \div 1$
Second pay period	$S_1 =$	$52 \div 2$	$26 \div 2$	$24 \div 2$
Last pay period	$S_1 =$	$52 \div 52$	$26 \div 26$	$24 \div 24$

G = Gross remuneration subject to source deductions of income tax for the pay period, **plus** the total gross remuneration since the beginning of the year (**excluding the value of variable B**)

F = Total of the following amounts taken into account **since the beginning of the year (including the pay period)**:

- the contribution to an RPP;
- the contribution to an RRSP;
- the contribution to a VRSP or to a PRPP;
- the contribution to an FHSA;
- the contribution paid for an employee under a retirement compensation arrangement;
- the deduction respecting the CIP, that is, 125% of the amount withheld from the employee's remuneration for the purchase of preferred shares qualifying under the CIP;
- the travel deduction for residents of designated remote areas;
- the security option deduction;
- the portion of the remuneration that gives entitlement to one of the following deductions:
 - the deduction for income situated on a reserve,
 - the deduction for employment income earned on a vessel,
 - the deduction for foreign specialists,
 - the deduction for foreign researchers,
 - the deduction for foreign researchers on a post-doctoral internship,
 - the deduction for foreign experts,
 - the deduction for foreign professors,
 - the deduction for foreign producers or foreign individuals holding a key position in a foreign production filmed in Québec,
 - the deduction for foreign farm workers,
 - the Canadian Forces personnel and police deduction.



H = Deduction for workers

$$= (0.06 \times D), \text{ up to a maximum of } \$1,420 \div S1$$

where

D = Gross salary or wages subject to source deductions of income tax for the pay period, **plus** the total gross salary or wages since the beginning of the year (including the value of variable B)

S1 = Annualization factor (the number of pay periods in the year, divided by the number corresponding to the current pay period)

Examples		52 pay periods	26 pay periods	24 pay periods
First pay period	$S_1 =$	$52 \div 1$	$26 \div 1$	$24 \div 1$
Second pay period	$S_1 =$	$52 \div 2$	$26 \div 2$	$24 \div 2$
Last pay period	$S_1 =$	$52 \div 52$	$26 \div 26$	$24 \div 24$

CSA1 = Total of the amounts included in variable CSA **accrued** before the start of the current pay period

CSA = Deduction of additional employee QPP contributions on the employee's pensionable salary or wages under the QPP for the pay period, **excluding** gratuities, retroactive pay or similar lump-sum payments

$$= CS \times [(S3 - B2) \div S3]$$

where

CS = Deduction of additional employee QPP contributions for the pay period

$$= C \times (0.01 \div 0.0640) + C2$$

where

C = Employee QPP contribution for the pay period (base contribution and first additional contribution)

C2 = Second additional employee QPP contribution for the pay period

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

B2 = Gratuities, retroactive pay or similar lump-sum payments **during the pay period**

CSB1 = Total of the amounts included in variable CSB **accrued** before the start of the current pay period

CSB = Deduction of additional employee QPP contributions on gratuities, retroactive pay or similar lump-sum payments during the pay period

$$= \text{CS} \times (\text{B2} \div \text{S3})$$

where

CS = Deduction of additional employee QPP contributions for the pay period

$$= \text{C} \times (0.01 \div 0.0640) + \text{C2}$$

where

C = Employee QPP contribution for the pay period (base contribution and first additional contribution)

C2 = Second additional employee QPP contribution for the pay period

B2 = Gratuities, retroactive pay or similar lump-sum payments **during the pay period**

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

B = Gratuities, retroactive pay or similar lump-sum payments paid during the pay period, **plus** those paid since the beginning of the year

J = Deductions shown on line 19 of form TP-1015.3-V

J1 = Annual deductions that we authorized after the individual completed form TP-1016-V

Step 2 – Calculating the income tax for the year

Y = Income tax for the year

$$= (\text{T} \times \text{I}) - \text{K} - \text{K1} - (0.14 \times \text{E}) - (0.15 \times \text{S1} \times \text{Q}) - (0.15 \times \text{S1} \times \text{Q1}) \rightarrow \text{If the result is negative, enter 0.}$$

where

T = Income tax rate applicable to the bracket of annual taxable income

Annual taxable income (I)		Income tax rate (T)	Constant (K)
More than	Equal to or less than		
\$0	\$53,255	14%	\$0
\$53,255	\$106,495	19%	\$2,662
\$106,495	\$129,590	24%	\$7,987
\$129,590	–	25.75%	\$10,255

I = Annual taxable income

K = Constant used to adjust the income tax rate on the basis of the annual taxable income

K1 = Non-refundable tax credits that we authorized for the year after the individual completed form TP-1016-V (for example, the tax credit for charitable donations and other gifts)

E = Value of personal tax credits shown on form TP-1015.3-V

= **E1 + E2** ➤ If the result is not a multiple of 1, round it to the nearest multiple of 1. If the result is halfway between two multiples of 1, round it up to the higher multiple.

where

E1 = Indexed value of personal tax credits, which corresponds to one of the following amounts:

- the value of variable E1 for 2024 multiplied by 1.0285;
- the amount from line 7 of form TP-1015.3-V, for an individual who completed the form for 2025;
- \$18,571 (the basic personal amount for 2025) for an employee who took up employment duties in 2025 and who did not complete form TP-1015.3-V and for a new beneficiary who did not complete the form.

NOTE

The value of variable E1 for 2024 corresponds to the value of variable E1 for 2023, multiplied by the indexation factor for 2024 plus 1.

E2 = Non-indexed value of the personal tax credits, which corresponds to the amount from line 9 of form TP-1015.3-V

NOTE

There may be a limit on the deductions and personal tax credits an individual can claim on form TP-1015.3-V if they are not resident in Canada or if they become resident in Canada during the year. For more information, consult guide TP-1015.G-V.

S1 = Annualization factor (the number of pay periods in the year, divided by the number corresponding to the current pay period)

Q = Amount withheld for the pay period for the purchase of class A Fonds de solidarité FTQ shares

Q1 = Amount withheld for the pay period for the purchase of class A or class B Fondation shares

NOTE

The total of the amounts withheld for the year must not exceed \$5,000. The tax credit respecting a labour-sponsored fund is taken into account in the calculation of income tax for the year. However, if the amount withheld for the pay period for the purchase of Fonds de solidarité FTQ or Fondation shares is subtracted from the employee's gross remuneration, as shown in section 3.3.3 of guide TP-1015.G-V, the value of variables Q and Q1 must be zero.



Step 3 – Calculating the income tax to be withheld for the pay period

A = Income tax to be withheld for the pay period

$$= \frac{[(Y \div S1) - M] + L}{1}$$

➤ If the result is negative, enter 0.

where

Y = Income tax for the year

S1 = Annualization factor (the number of pay periods in the year, divided by the number corresponding to the current pay period)

M = Cumulative income tax withheld to the last pay period (do not take into account variable L)

L = Additional source deduction of income tax requested by the individual on form TP-1015.3-V or form TP-1017-V, *Request to Have Additional Income Tax Withheld at Source*, or source deduction of income tax requested by the individual on form TP-1015.N-V, *Election to Have Income Tax Deducted at Source From Fishing Income*, for the pay period

Method 2

If you use Method 2, **you must first** determine the Québec income tax to be withheld from a gratuity, retroactive pay or similar lump-sum payment that you paid during the pay period (variable A3), **and then** determine the Québec income tax to be withheld from the other remuneration paid during the pay period (variable A). You proceed this way because the amount determined for variable A3 will affect the amount determined for variable A.

Step 1 – Calculating the annual taxable income

I3 = Annual taxable income (take into account variable B3)

$$= [S1 \times (G - F - H1 - CSA1 - CSA)] + B3 - CSB1 - CSB - J - J1 \quad \text{➤ If the result is negative, enter 0.}$$

I4 = Annual taxable income (take into account variable B4)

$$= [S1 \times (G - F - H2 - CSA1 - CSA)] + B4 - CSB1 - J - J1 \quad \text{➤ If the result is negative, enter 0.}$$

where

S1 = Annualization factor (the number of pay periods in the year, divided by the number corresponding to the current pay period)

Examples		52 pay periods	26 pay periods	24 pay periods
First pay period	$S_1 =$	$52 \div 1$	$26 \div 1$	$24 \div 1$
Second pay period	$S_1 =$	$52 \div 2$	$26 \div 2$	$24 \div 2$
Last pay period	$S_1 =$	$52 \div 52$	$26 \div 26$	$24 \div 24$

G = Gross remuneration subject to source deductions of income tax for the pay period, **plus** the total gross remuneration since the beginning of the year (**excluding gratuities, retroactive pay or similar lump-sum payments**)

F = Total of the following amounts taken into account **since the beginning of the year (including the pay period)**:

- the contribution to an RPP;
- the contribution to an RRSP;
- the contribution to a VRSP or to a PRPP;
- the contribution to an FHSA;
- the contribution paid for an employee under a retirement compensation arrangement;
- the deduction respecting the CIP, that is, 125% of the amount withheld from the employee's remuneration for the purchase of preferred shares qualifying under the CIP;
- the travel deduction for residents of designated remote areas;
- the security option deduction;
- the portion of the remuneration that gives entitlement to one of the following deductions:
 - the deduction for income situated on a reserve,
 - the deduction for employment income earned on a vessel,
 - the deduction for foreign specialists,
 - the deduction for foreign researchers,
 - the deduction for foreign researchers on a post-doctoral internship,
 - the deduction for foreign experts,
 - the deduction for foreign professors,
 - the deduction for foreign producers or foreign individuals holding a key position in a foreign production filmed in Québec,
 - the deduction for foreign farm workers,
 - the Canadian Forces personnel and police deduction.

H1 = Deduction for workers (taking into account variable B3)

= **$[0.06 \times (D1 + B3)]$, up to a maximum of \$1,420 ÷ S1**

where

D1 = Gross salary or wages subject to source deductions of income tax for the pay period plus the total gross salary or wages since the beginning of the year, **excluding variable B3**

B3 = Gratuities, retroactive pay or similar lump-sum payments paid during the pay period **plus those paid since the beginning of the year (variable B4)**

NOTE

If you took into account an amount included in variable F in calculating the income tax to be withheld from gratuities, retroactive pay or similar lump-sum payments paid since the beginning of the year, you must reduce variable B3 accordingly.

S1 = Annualization factor (the number of pay periods in the year, divided by the number corresponding to the current pay period)

Examples		52 pay periods	26 pay periods	24 pay periods
First pay period	$S_1 =$	$52 \div 1$	$26 \div 1$	$24 \div 1$
Second pay period	$S_1 =$	$52 \div 2$	$26 \div 2$	$24 \div 2$
Last pay period	$S_1 =$	$52 \div 52$	$26 \div 26$	$24 \div 24$

H2 = Deduction for workers (taking into account variable B4)

$$= [0.06 \times (D1 + B4)], \text{ up to a maximum of } \$1,420 \div S1$$

where

D1 = Total gross salary or wages since the beginning of the year, **excluding** variable B4

B4 = Gratuities, retroactive pay or similar lump-sum payments paid since the beginning of the year (other than those paid during the pay period)

NOTE

If you took into account an amount included in variable F in calculating the income tax to be withheld from gratuities, retroactive pay or similar lump-sum payments paid since the beginning of the year, you must reduce variable B4 accordingly.

S1 = Annualization factor (the number of pay periods in the year, divided by the number corresponding to the current pay period)

Examples		52 pay periods	26 pay periods	24 pay periods
First pay period	$S_1 =$	$52 \div 1$	$26 \div 1$	$24 \div 1$
Second pay period	$S_1 =$	$52 \div 2$	$26 \div 2$	$24 \div 2$
Last pay period	$S_1 =$	$52 \div 52$	$26 \div 26$	$24 \div 24$

CSA1 = Total of the amounts included in variable CSA **accrued** before the start of the current pay period

CSA = Deduction of additional employee QPP contributions on the employee's pensionable salary or wages under the QPP for the pay period, **excluding** gratuities, retroactive pay or similar lump-sum payments

$$= CS \times [(S3 - B2) \div S3]$$

where

CS = Deduction of additional employee QPP contributions for the pay period

$$= C \times (0.01 \div 0.0640) + C2$$

where

C = Employee QPP contribution for the pay period (base contribution and first additional contribution)

C2 = Second additional employee QPP contribution for the pay period

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

B2 = Gratuities, retroactive pay or similar lump-sum payments **during the pay period**

CSB1 = Total of the amounts included in variable CSB **accrued** before the start of the current pay period

CSB = Deduction of additional employee QPP contributions on gratuities, retroactive pay or similar lump-sum payments during the pay period

$$= \text{CS} \times (\text{B2} \div \text{S3})$$

where

CS = Deduction of additional employee QPP contributions for the pay period

$$= \text{C} \times (0.01 \div 0.0640) + \text{C2}$$

where

C = Employee QPP contribution for the pay period (base contribution and first additional contribution)

C2 = Second additional employee QPP contribution for the pay period

B2 = Gratuities, retroactive pay or similar lump-sum payments **during the pay period**

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

J = Deductions shown on line 19 of form TP-1015.3-V

J1 = Annual deductions that we authorized after the individual completed form TP-1016-V

Step 2 – Calculating the income tax for the year

Y3 = Income tax for the year (taking into account variable B3)

$$= (\text{T} \times \text{I3}) - \text{K} - \text{K1} - (0.14 \times \text{E}) - (0.15 \times \text{S1} \times \text{Q}) - (0.15 \times \text{S1} \times \text{Q1}) \rightarrow \text{If the result is negative, enter 0.}$$

Y4 = Income tax for the year (taking into account variable B4)

$$= (\text{T} \times \text{I4}) - \text{K} - \text{K1} - (0.14 \times \text{E}) - (0.15 \times \text{S1} \times \text{Q}) - (0.15 \times \text{S1} \times \text{Q1}) \rightarrow \text{If the result is negative, enter 0.}$$

where

T = Income tax rate applicable to the bracket of annual taxable income

Annual taxable income (I)		Income tax rate (T)	Constant (K)
More than	Equal to or less than		
\$0	\$53,255	14%	\$0
\$53,255	\$106,495	19%	\$2,662
\$106,495	\$129,590	24%	\$7,987
\$129,590	–	25.75%	\$10,255

I3 = Annual taxable income, taking into account variable B3

I4 = Annual taxable income, taking into account variable B4

K = Constant used to adjust the income tax rate on the basis of the annual taxable income

K1 = Non-refundable tax credits that we authorized for the year after the individual completed form TP-1016-V (for example, the tax credit for charitable donations and other gifts)

E = Value of personal tax credits shown on form TP-1015.3-V

= **E1 + E2** ➤ If the result is not a multiple of 1, round it to the nearest multiple of 1. If the result is halfway between two multiples of 1, round it up to the higher multiple.

where

E1 = Indexed value of personal tax credits, which corresponds to one of the following amounts:

- the value of variable E1 for 2024 multiplied by 1.0285;
- the amount from line 7 of form TP-1015.3-V, for an individual who completed the form for 2025;
- \$18,571 (the basic personal amount for 2025) for an employee who took up employment duties in 2025 and who did not complete form TP-1015.3-V and for a new beneficiary who did not complete the form.

NOTE

The value of variable E1 for 2024 corresponds to the value of variable E1 for 2023, multiplied by the indexation factor for 2024 plus 1.

E2 = Non-indexed value of the personal tax credits, which corresponds to the amount from line 9 of form TP-1015.3-V

NOTE

There may be a limit on the deductions and personal tax credits an individual can claim on form TP-1015.3-V if they are not resident in Canada or if they become resident in Canada during the year. For more information, consult guide TP-1015.G-V.

S1 = Annualization factor (the number of pay periods in the year, divided by the number corresponding to the current pay period)

Q = Amount withheld for the pay period for the purchase of class A Fonds de solidarité FTQ shares

Q1 = Amount withheld for the pay period for the purchase of class A or class B Fondation shares

NOTE

The total of the amounts withheld for the year must not exceed \$5,000. The tax credit respecting a labour-sponsored fund is taken into account in the calculation of income tax for the year. However, if the amount withheld for the pay period for the purchase of Fonds de solidarité FTQ or Fondation shares is subtracted from the employee's gross remuneration, as shown in section 3.3.3 of guide TP-1015.G-V, the value of variables Q and Q1 must be zero.



Step 3 – Calculating the income tax to be withheld for the pay period

A4 = Income tax to be withheld for the pay period

= **A + A3**

where

A = Income tax to be withheld from the remuneration for the pay period. **Do not include** gratuities, retroactive pay or similar lump-sum payments paid during the pay period.

= **[(Y – M1) ÷ S1] – M + L**

➤ If the result is negative, enter 0.

where

Y = Income tax for the year corresponding to the value of variable Y3

M1 = Cumulative income tax withheld from gratuities, retroactive pay or similar lump-sum payments paid since the beginning of the year, **including variable A3**

S1 = Annualization factor (the number of pay periods in the year, divided by the number corresponding to the current pay period)

M = Cumulative income tax withheld to the last pay period (**excluding variables L and M1**)

L = Additional source deduction of income tax requested by the individual on form TP-1015.3-V or form TP-1017-V, *Request to Have Additional Income Tax Withheld at Source*, or source deduction of income tax requested by the individual on form TP-1015.N-V, *Election to Have Income Tax Deducted at Source From Fishing Income*, for the pay period

A3 = Income tax to be withheld from a gratuity, retroactive pay or similar lump-sum payment paid during the pay period

= **Y3 – Y4**

where

Y3 = Income tax for the year (taking into account variable B3)

Y4 = Income tax for the year (taking into account variable B4)



3 FORMULAS TO CALCULATE QPP CONTRIBUTIONS

3.1 Employee contributions

Use the formulas below to calculate the employee contributions to the QPP **only for an employee whose employment is continuous and whose pay periods are regular.**

For each pay period, you must withhold the employee's contributions to the QPP from the employee's pensionable salary or wages until the total of the amounts withheld reaches the employee's maximum contributions for the year. See Appendix 3 for an example of how employee QPP contributions are calculated.

Calculating the employee QPP contributions

C = Employee QPP contribution to be withheld for the pay period (base contribution and first additional contribution)

= **the lesser of the following amounts:**

- $\$4,339.20 \times (PM \div 12) - A5$
- $0.0640 \times [S3 - (\$3,500 \div P)]$

where

PM = Total number of months in the year the employee must contribute to the QPP (see section 4.5 in guide TP-1015.G-V)

A5 = Employee's QPP contribution withheld since the beginning of the year, before the current pay period

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

P = Number of pay periods in the year

C2 = Second additional employee QPP contribution to be withheld for the pay period

= **the lesser of the following amounts:** ➤ If the result is negative, enter 0.

- $\$396 \times (PM \div 12) - A8$
- $0.04 \times (S5 + S3 - W)$

where

PM = Total number of months in the year the employee must contribute to the QPP (see section 4.5 in guide TP-1015.G-V)

A8 = Second additional employee QPP contribution withheld since the beginning of the year, before the current pay period

S5 = Total of the amounts included in variable S3 **accrued** before the start of the current pay period

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

W = **the greater of the following amounts:**

- **S5**
- **$\$71,300 \times (PM \div 12)$**

Employee transferred from an establishment under the CPP system to one under the QPP system

If, during a year, an employee is transferred from an establishment subject to the CPP to an establishment subject to the QPP, you must use the formulas below to calculate the employee's QPP contributions for the pay period.

C = Employee QPP contribution to be withheld for the pay period

= **the lesser of the following amounts:**

- **$\$4,339.20 \times (PM \div 12) - [R \times (0.0640 \div 0.0595) + A5]$**
- **$0.0640 \times [S3 - (\$3,500 \div P)]$**

where

PM = Total number of months in the year the employee must contribute to the QPP (see section 4.5 in guide TP-1015.G-V)

R = Employee's CPP contribution withheld since the beginning of the year, before the current pay period

A5 = Employee's QPP contribution withheld since the beginning of the year, before the current pay period

S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

P = Number of pay periods in the year

C2 = Second additional employee QPP contribution to be withheld for the pay period

= **the lesser of the following amounts:** ➤ If the result is negative, enter 0.

- **$\$396 \times (PM \div 12) - [R2 \times (0.04 \div 0.04) + A8]$**
- **$0.04 \times (S5 + S3 - W)$**

where

PM = Total number of months in the year the employee must contribute to the QPP (see section 4.5 in guide TP-1015.G-V)

R2 = Second additional employee CPP contribution withheld since the beginning of the year, before the current pay period

A8 = Second additional employee QPP contribution withheld since the beginning of the year, before the current pay period

S5 = Total of the amounts included in variable S3 **accrued** before the start of the current pay period



S3 = Pensionable salary or wages under the QPP for the pay period, including gratuities, retroactive pay or similar lump-sum payments

W = **the greater of the following amounts:**

- **\$5**
- **$\$71,300 \times (PM \div 12)$**

Gratuities and retroactive pay

If a gratuity is paid or a retroactive payment made along with an employee's salary or wages for a pay period, you must calculate the employee's QPP contributions to be withheld for the period based on the total of all these amounts for the pay period.

If you pay a gratuity or retroactive amount **separate from the employee's salary or wages** and the exemption for the pay period has already been applied, the amount to be withheld corresponds to the lesser of the following amounts:

- the total of:
 - the employee's contribution rate **multiplied** by the portion of the pensionable salary or wages that does not exceed the maximum pensionable earnings (**without taking the exemption into account**), and
 - the employee's second additional contribution rate **multiplied** by the portion of the pensionable salary or wages that exceeds the maximum pensionable earnings without exceeding the additional maximum pensionable earnings;
- the employee's total maximum contributions for the year, **minus** any amounts already withheld from the employee's salary or wages for the year.

NOTE

If the amount calculated for each of the employee's QPP contributions for the pay period is an amount containing a fraction of a cent, do not take into account a fraction of less than \$0.005 (one-half cent). A fraction of \$0.005 or more is considered \$0.01 (one cent).

If the amount calculated for each of the employee's QPP contributions for the pay period is greater than 0 but less than \$0.01, you must withhold \$0.01 as a contribution even if the fraction is less than \$0.005 (one-half cent). For example, if the result is equal to \$0.001 (one-tenth cent), you must withhold \$0.01.

If the result obtained in calculating the pay period exemption contains three or more decimal places, keep only the first two decimal places and do not round off (example: $\$3,500 \div 52 = \$67.3077 = \$67.30$).

3.2 Employer contributions

There is no formula to calculate the employer QPP contributions. You must contribute an amount that is equal to the total contributions you withheld from your employees' pensionable salary or wages. The total employer QPP contribution corresponds to the total employee QPP contribution calculated using the formula in section 3.1. **When the employee's maximum QPP contributions are reached, the employer's maximum QPP contributions for the year are also reached.**



4 FORMULAS TO CALCULATE QPIP PREMIUMS

4.1 Employee premium

Use the formula below to calculate the employee QPIP premium.

For each pay period, you must withhold an employee's QPIP premium from their eligible salary or wages until the total amount reaches the employee's maximum annual premium.

Calculating the employee QPIP premium

Ap = Employee's QPIP premium to be withheld for the pay period

= the lesser of the following amounts:

- $\$484.12 - A6$
- $0.00494 \times S4$

where

A6 = Employee's QPIP premiums withheld since the beginning of the year, before the current pay period

S4 = Eligible salary or wages under the QPIP for the pay period

NOTE

- If the result of the calculation of the employee's QPIP premium for the pay period is an amount containing a fraction of a cent, do not take into account a fraction of less than \$0.005 (one-half cent). A fraction of \$0.005 or more is considered \$0.01 (one cent).
- If the result is greater than 0 but less than \$0.01, you must withhold \$0.01 as a premium even if the fraction is less than \$0.005 (one-half cent). For example, if the result is equal to \$0.001 (one-tenth cent), you must withhold \$0.01.

4.2 Employer premium (for each employee)

Use the formula below to calculate the employer QPIP premium.

For each pay period, you must calculate the employer's QPIP premium on the basis of the employee's eligible salary or wages under the QPIP until the total amount reaches the employer's maximum annual premium for that employee. **Once the employee's maximum annual premium is reached, the employer's maximum annual premium is also reached.**

Calculating the employer QPIP premium (for each employee)

Ap1 = Employer's QPIP premium for the pay period with respect to the employee

= **the lesser of the following amounts:**

- **\$678.16 – A7**
- **0.00692 × S4**

where

A7 = Employer's QPIP premiums calculated for previous pay periods with respect to the employee

S4 = Eligible salary or wages under the QPIP for the pay period

NOTE

If the employer QPIP premium amount calculated for the employee for the pay period is an amount containing a fraction of a cent, do not take into account a fraction of less than \$0.005 (one-half cent). A fraction of \$0.005 or more is considered \$0.01 (one cent).



5 FORMULA TO CALCULATE THE CONTRIBUTION TO THE HEALTH SERVICES FUND

Use the formula below to calculate the contribution to the health services fund.

Note that the health services fund contribution rate varies depending on your **total payroll** for the year and your sector of activity.

Calculating the contribution to the health services fund

D2 = Contribution to the health services fund for the pay period

$$= W \times S2$$

where

W = Health services fund contribution rate (%)

S2 = Total salaries or wages paid for the pay period respecting which you are required to pay a contribution to the health services fund

If you are an employer whose total payroll is more than 50% attributable to activities in the primary and manufacturing sectors, your contribution rate is calculated as follows

$$W = 0.8074 + (0.4426 \times S)$$

where

S = 1, if the total payroll is $\leq$ \$1,000,000

S = 7.8, if the total payroll is $\geq$ \$7,800,000

S = total payroll divided by \$1,000,000, if the total payroll is between \$1,000,000 and \$7,800,000



If you are neither an employer whose total payroll is more than 50% attributable to activities in the primary and manufacturing sectors nor a public sector employer, your contribution rate is calculated as follows:

$$W = 1.2662 + (0.3838 \times S)$$

where

$$S = 1, \text{ if the total payroll is } \leq \$1,000,000$$

$$S = 7.8, \text{ if the total payroll is } \geq \$7,800,000$$

$$S = \text{total payroll divided by } \$1,000,000, \text{ if the total payroll is between } \$1,000,000 \text{ and } \$7,800,000$$

If you are a public sector employer, your contribution rate is 4.26%, regardless of your total payroll.

NOTE

- The contribution rate must be rounded off to two decimal places. If the number in the third decimal place is 5 or more, round up the number in the second decimal place.
- The primary and manufacturing sector activities are classified under codes 11, 21 and 31–33 of the North American Industry Classification System (NAICS). For a description of the codes, visit the Statistics Canada website.

Periodic remittances of the contribution to the health services fund

Use an **estimated contribution rate** to calculate the periodic remittances you have to make in the year because the actual contribution rate for the year will only be determined when you file the RL-1 summary. The estimated contribution rate for a new employer is not calculated in the same way as it is for other employers.

New employers

For the **first two consecutive years** in which you have to pay the contribution to the health services fund, your contribution rate for each periodic remittance corresponds to the rate that would apply if your **total payroll** for the year was equal to the portion of your **total payroll** paid from the beginning of the year to the end of the period covered by the remittance. The contribution rate must be adjusted each remittance period to take into account the **cumulative total payroll** for the preceding periods.

Other employers

For years following the first two consecutive years for which you paid the contribution to the health services fund, your contribution rate is the rate that would apply if your **total payroll** for the year were the same as your total payroll for the previous year.

For more information, see guide TP-1015.G-V.

APPENDIX 1

EXAMPLE OF HOW TO CALCULATE THE SOURCE DEDUCTION OF INCOME TAX ON REGULAR PAYMENTS

An employee receives a gross salary of \$4,000 every two weeks (26 pay periods). The employee's contribution to an RPP is \$200 per pay period. The amount entered on line 10 of form TP-1015.3-V for the year is \$21,830. On January 3, the employee purchased \$2,000 in Fonds de solidarité FTQ shares and \$3,000 in Fondaction shares, payable over the first 20 pay periods of the year.

For the first 17 pay periods in the year, the source deductions of income tax are calculated as follows:

Step 1

$$\begin{aligned}
 \mathbf{I} &= \text{Annual taxable income} \\
 &= \mathbf{P \times (G - F - H - CSA) - J - J1} \\
 &= 26 \times (\$4,000 - \$200 - \$54.62 - \$38.65) - \$0 - \$0 \\
 &= (26 \times \$3,706.73) - \$0 - \$0 \\
 &= \$96,374.98 - \$0 - \$0 \\
 &= \$96,374.98
 \end{aligned}$$

Step 2

$$\begin{aligned}
 \mathbf{Y} &= \text{Income tax for the year} \\
 &= \mathbf{(T \times I) - K - K1 - (0.14 \times E) - (0.15 \times P \times Q) - (0.15 \times P \times Q1)} \\
 &= (0.19 \times \$96,374.98) - \$2,662 - \$0 - (0.14 \times \$21,830) - (0.15 \times 26 \times \$100) - (0.15 \times 26 \times \$150) \\
 &= \$18,311.25 - \$2,662 - \$0 - \$3,056.20 - \$390 - \$585 \\
 &= \$11,618.05
 \end{aligned}$$

Step 3

$$\begin{aligned}
 \mathbf{A} &= \text{Income tax to be withheld for the pay period} \\
 &= \mathbf{(Y \div P) + L} \\
 &= (\$11,618.05 \div 26) + \$0 \\
 &= \$446.85
 \end{aligned}$$



For the 18th pay period, the source deductions of income tax are calculated as follows:

Step 1

$$\begin{aligned} \mathbf{I} &= \text{Annual taxable income} \\ &= \mathbf{P \times (G - F - H - CSA) - J - J1} \\ &= 26 \times (\$4,000 - \$200 - \$54.62 - \$48.90) - \$0 - \$0 \\ &= (26 \times \$3,696.48) - \$0 - \$0 \\ &= \$96,108.48 - \$0 - \$0 \\ &= \$96,108.48 \end{aligned}$$

Step 2

$$\begin{aligned} \mathbf{Y} &= \text{Income tax for the year} \\ &= \mathbf{(T \times I) - K - K1 - (0.14 \times E) - (0.15 \times P \times Q) - (0.15 \times P \times Q1)} \\ &= (0.19 \times \$96,108.48) - \$2,662 - \$0 - (0.14 \times \$21,830) - (0.15 \times 26 \times \$100) - (0.15 \times 26 \times \$150) \\ &= \$18,260.61 - \$2,662 - \$0 - \$3,056.20 - \$390 - \$585 \\ &= \$11,567.41 \end{aligned}$$

Step 3

$$\begin{aligned} \mathbf{A} &= \text{Income tax to be withheld for the pay period} \\ &= \mathbf{(Y \div P) + L} \\ &= (\$11,567.41 \div 26) + \$0 \\ &= \$444.90 \end{aligned}$$

For the 19th and 20th pay periods, the source deductions of income tax are calculated as follows:

Step 1

$$\begin{aligned} \mathbf{I} &= \text{Annual taxable income} \\ &= \mathbf{P \times (G - F - H - CSA) - J - J1} \\ &= 26 \times (\$4,000 - \$200 - \$54.62 - \$160) - \$0 - \$0 \\ &= (26 \times \$3,585.38) - \$0 - \$0 \\ &= \$93,219.88 - \$0 - \$0 \\ &= \$93,219.88 \end{aligned}$$



Step 2

$$\begin{aligned} \mathbf{Y} &= \text{Income tax for the year} \\ &= (\mathbf{T} \times \mathbf{I}) - \mathbf{K} - \mathbf{K1} - (\mathbf{0.14} \times \mathbf{E}) - (\mathbf{0.15} \times \mathbf{P} \times \mathbf{Q}) - (\mathbf{0.15} \times \mathbf{P} \times \mathbf{Q1}) \\ &= (\$0.19 \times \$93,219.88) - \$2,662 - \$0 - (0.14 \times \$21,830) - (0.15 \times 26 \times \$100) - (0.15 \times 26 \times \$150) \\ &= \$17,711.78 - \$2,662 - \$0 - \$3,056.20 - \$390 - \$585 \\ &= \$11,018.58 \end{aligned}$$

Step 3

$$\begin{aligned} \mathbf{A} &= \text{Income tax to be withheld for the pay period} \\ &= (\mathbf{Y} \div \mathbf{P}) + \mathbf{L} \\ &= (\$11,018.58 \div 26) + \$0 \\ &= \$423.79 \end{aligned}$$

For the 21st pay period, the source deductions of income tax are calculated as follows:

Step 1

$$\begin{aligned} \mathbf{I} &= \text{Annual taxable income} \\ &= \mathbf{P} \times (\mathbf{G} - \mathbf{F} - \mathbf{H} - \mathbf{CSA}) - \mathbf{J} - \mathbf{J1} \\ &= 26 \times (\$4,000 - \$200 - \$54.62 - \$48) - \$0 - \$0 \\ &= (26 \times \$3,697.38) - \$0 - \$0 \\ &= \$96,131.88 - \$0 - \$0 \\ &= \$96,131.88 \end{aligned}$$

Step 2

$$\begin{aligned} \mathbf{Y} &= \text{Income tax for the year} \\ &= (\mathbf{T} \times \mathbf{I}) - \mathbf{K} - \mathbf{K1} - (\mathbf{0.14} \times \mathbf{E}) - (\mathbf{0.15} \times \mathbf{P} \times \mathbf{Q}) - (\mathbf{0.15} \times \mathbf{P} \times \mathbf{Q1}) \\ &= (0.19 \times \$96,131.88) - \$2,662 - \$0 - (0.14 \times \$21,830) - (0.15 \times 26 \times \$0) - (0.15 \times 26 \times \$0) \\ &= \$18,265.06 - \$2,662 - \$0 - \$3,056.20 - \$0 - \$0 \\ &= \$12,546.86 \end{aligned}$$

Step 3

$$\begin{aligned} \mathbf{A} &= \text{Income tax to be withheld for the pay period} \\ &= (\mathbf{Y} \div \mathbf{P}) + \mathbf{L} \\ &= (\$12,546.86 \div 26) + \$0 \\ &= \$482.57 \end{aligned}$$

For the last 5 pay periods, the source deductions of income tax are calculated as follows:

Step 1

$$\begin{aligned} \mathbf{I} &= \text{Annual taxable income} \\ &= \mathbf{P \times (G - F - H - CSA) - J - J1} \\ &= 26 \times (\$4,000 - \$200 - \$54.62 - \$0) - \$0 - \$0 \\ &= (26 \times \$3,745.38) - \$0 - \$0 \\ &= \$97,379.88 - \$0 - \$0 \\ &= \$97,379.88 \end{aligned}$$

Step 2

$$\begin{aligned} \mathbf{Y} &= \text{Income tax for the year} \\ &= \mathbf{(T \times I) - K - K1 - (0.14 \times E) - (0.15 \times P \times Q) - (0.15 \times P \times Q1)} \\ &= (0.19 \times \$97,379.88) - \$2,662 - \$0 - (0.14 \times \$21,830) - (0.15 \times 26 \times \$0) - (0.15 \times 26 \times \$0) \\ &= \$18,502.18 - \$2,662 - \$0 - \$3,056.20 - \$0 - \$0 \\ &= \$12,783.98 \end{aligned}$$

Step 3

$$\begin{aligned} \mathbf{A} &= \text{Income tax to be withheld for the pay period} \\ &= \mathbf{(Y \div P) + L} \\ &= (\$12,783.98 \div 26) + \$0 \\ &= \$491.69 \end{aligned}$$



APPENDIX 2

EXAMPLE OF HOW TO CALCULATE THE SOURCE DEDUCTION OF INCOME TAX ON A RETROACTIVE PAYMENT

An employee receives a gross salary of \$1,500 per week. The employee's contribution to an RPP is \$100 per week. Each pay period, their employer withholds \$156.90 in income tax from the salary paid.

During the 20th pay period, the employee receives retroactive pay of \$4,000 in addition to their salary. For that pay period, the employee's RPP contribution is \$500, of which \$400 is related to the retroactive pay.

Step 1

$$\begin{aligned}
 \mathbf{I} &= \text{Annual taxable income} \\
 &= \mathbf{[P \times (G - F - H - CSA)] + B1 + B2 - CSB1 - CSB - J - J1} \\
 &= [52 \times (\$1,500 - \$100 - \$27.31 - \$14.82)] + \$0 + (\$4,000 - \$400) - \$0 - \$39.51 - \$0 - \$0 \\
 &= (52 \times \$1,357.87) + \$0 + \$3,600 - \$39.51 - \$0 - \$0 \\
 &= \$70,609.24 + \$0 + \$3,600 - \$39.51 - \$0 - \$0 \\
 &= \$74,169.73
 \end{aligned}$$

Step 2

$$\begin{aligned}
 \mathbf{A} &= \text{Income tax to be withheld from retroactive pay paid during the pay period} \\
 &= \mathbf{T \times (B2 - CSB)} \\
 &= 0.19 \times (\$3,600 - \$39.51) \\
 &= \$676.49
 \end{aligned}$$

The **total** income tax to be withheld for the pay period is \$833.39, that is, the income tax to be withheld from the retroactive pay (\$676.49) plus the income tax to be withheld from the salary (\$156.90).



APPENDIX 3

EXAMPLE OF HOW TO CALCULATE QPP CONTRIBUTIONS

Example

An employee receives a salary of \$4,000 every two weeks (26 pay periods), which gives an annual salary of \$104,000. This amount exceeds the maximum pensionable earnings under the QPP (\$71,300) and the additional maximum pensionable earnings under the QPP (\$81,200) for the year.

For the first 17 pay periods, the employee's QPP contributions (base contribution and first additional contribution under the QPP) total \$4,205.46 $((\$4,000 - 134.61) \times 6.40\% \times 17 \text{ pay periods})$, and the employee's pensionable salary or wages accrued is \$68,000 $(\$4,000 \times 17 \text{ pay periods})$.

For the 18th pay period of the year, the employee contributions are calculated as follows:

Calculating employee QPP contributions

C = Employee QPP contribution to be withheld for the pay period (base contribution and first additional contribution)

= the lesser of the following amounts:

- $\$4,339.20 \times (\text{PM} \div 12) - \text{A5}$
 $= \$4,339.20 \times (12 \div 12) - \$4,205.46$
 $= \$133.74$
- $0.0640 \times [\text{S3} - (\$3,500 \div \text{P})]$
 $= 0.0640 \times (\$4,000 - \$134.61)$
 $= \$247.38$

= **\$133.74**

C2 = Second additional employee QPP contribution to be withheld for the pay period

= the lesser of the following amounts:

- $\$396 \times (\text{PM} \div 12) - \text{A8}$
 $= \$396 \times (12 \div 12) - \0
 $= \$396$
- $0.04 \times (\text{S5} + \text{S3} - \text{W})$
 $= 0.04 \times (\$68,000 + \$4,000 - \$71,300)$
 $= \$28$

= **\$28**

where

W = the greater of the following amounts:

- **S5**
 $= \$68,000$
- $\$71,300 \times (\text{PM} \div 12)$
 $= \$71,300 \times (12 \div 12)$
 $= \$71,300$

= **\$71,300**

For the 19th pay period of the year, the employee contributions are calculated as follows:

Calculating employee QPP contributions

C = Employee QPP contribution to be withheld for the pay period (base contribution and the first additional contribution)

= the lesser of the following amounts:

- $\$4,339.20 \times (\text{PM} \div 12) - \text{A5}$
= $\$4,339.20 \times (12 \div 12) - \$4,339.20$
= \$0
- $0.0640 \times [\text{S3} - (\$3,500 \div \text{P})]$
= $0.0640 \times (\$4,000 - \$134.61)$
= \$247.38

= \$0

C2 = Second additional employee QPP contribution to be withheld for the pay period

= the lesser of the following amounts:

- $\$396 \times (\text{PM} \div 12) - \text{A8}$
= $\$396 \times (12 \div 12) - \28
= \$368
- $0.04 \times (\text{S5} + \text{S3} - \text{W})$
= $0.04 \times (\$72,000 + \$4,000 - \$72,000)$
= \$160

= \$160

where

W = the greater of the following amounts:

- S5
= \$72,000
 - $\$71,300 \times (\text{PM} \div 12)$
= $\$71,300 \times (12 \div 12)$
= \$71,300
- = \$72,000

For the 20th pay period of the year, the employee contributions are calculated as follows:

Calculating employee QPP contributions

C = Employee QPP contribution to be withheld for the pay period (base contribution and first additional contribution)

= the lesser of the following amounts:

- $\$4,339.20 \times (\text{PM} \div 12) - \text{A5}$
= $\$4,339.20 \times (12 \div 12) - \$4,339.20$
= \$0
- $0.0640 \times [\text{S3} - (\$3,500 \div \text{P})]$
= $0.0640 \times (\$4,000 - \$134.61)$
= \$247.38

= \$0

C2 = Second additional employee QPP contribution to be withheld for the pay period

= the lesser of the following amounts:

- $\$396 \times (\text{PM} \div 12) - \text{A8}$
= $\$396 \times (12 \div 12) - \188
= \$208
- $0.04 \times (\text{S5} + \text{S3} - \text{W})$
= $0.04 \times (\$76,000 + \$4,000 - \$76,000)$
= \$160

= \$160

where

W = the greater of the following amounts:

- S5
= \$76,000
 - $\$71,300 \times (\text{PM} \div 12)$
= $\$71,300 \times (12 \div 12)$
= \$71,300
- = \$76,000

For the 21st pay period of the year, the employee contributions are calculated as follows:

Calculating employee QPP contributions

C = Employee QPP contribution to be withheld for the pay period (base contribution and first additional contribution)

= the lesser of the following amounts:

- $\$4,339.20 \times (\text{PM} \div 12) - \text{A5}$
= $\$4,339.20 \times (12 \div 12) - \$4,339.20$
= \$0
- $0.0640 \times [\text{S3} - (\$3,500 \div \text{P})]$
= $0.0640 \times (\$4,000 - \$134.61)$
= \$247.38

= \$0

C2 = Second additional employee QPP contribution to be withheld for the pay period

= the lesser of the following amounts:

- $\$396 \times (\text{PM} \div 12) - \text{A8}$
= $\$396 \times (12 \div 12) - \348
= \$48
- $0.04 \times (\text{S5} + \text{S3} - \text{W})$
= $0.04 \times (\$80,000 + \$4,000 - \$80,000)$
= \$160

= \$48

where

W = the greater of the following amounts:

- S5
= \$80,000
- $\$71,300 \times (\text{PM} \div 12)$
= $\$71,300 \times (12 \div 12)$
= \$71,300

= \$80,000

For the last 5 pay periods of the year, the employee contributions are \$0.

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Individuals and individuals in business

Montréal, Laval, Laurentides, Lanaudière and Montérégie

Direction principale des relations
avec la clientèle des particuliers

Revenu Québec

C. P. 3000, succursale Place-Desjardins
Montréal (Québec) H5B 1A4

Québec City and other regions

Direction principale des relations
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Revenu Québec

3800, rue de Marly
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Businesses, employers and agents for consumption taxes

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Complaints – Bureau de la protection des droits de la clientèle

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